

low-priced issues over diversified, high-priced issues as speculative media. The following quotation from the study summarizes the results and conclusions reached by the author:

Unless there are serious uncompensated errors in the statistical work here presented, this investigation would seem to establish the existence of certain relationships between price level and price fluctuations which have hitherto gone unreported by students of stock-market phenomena. These relationships may be briefly stated as follows:

1. Low-price stocks tend to fluctuate relatively more than high-price stocks.
2. In a "bull" market the low-price stocks tend to go up relatively more than high-price stocks, and they do not lose these superior gains in the recessions which follow. In other words, the downward movement of low-price stocks is less than proportional to their upward movement, when compared with the upward and downward movement of high-price stocks.

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Assuming (1) that the future behavior of the various price groups will be similar to their past behavior and (2) that the selection of stocks on the basis of the activity for the current year does not account completely, if at all, for the superior performance of the stocks in the low-price groups, it seems logical to conclude the following:

1. Low-price industrial stocks offer greater opportunities for speculative profits than high-price industrial stocks.
2. In case two or more issues of industrial stocks seem to offer equal prospective profits, the speculator should purchase the shares selling at the lowest price.

Some Reasons Why Most Buyers of Low-Priced Issues Lose Money. The pronounced liking of the public for "cheap stocks" would therefore seem to have a sound basis in logic. Yet it is undoubtedly true that most people who buy low-priced stocks lose money on their purchases. Why is this so? The underlying reason is that the public buys issues that are *sold* to it, and the sales effort is put forward to benefit the seller and not the buyer. In consequence the bulk of the low-priced purchases made by the public are of the wrong kind; *i.e.*, they do not provide the real advantages of this

bottoms of depressions in 1897, 1907, 1914 and 1921. Within its more limited scope this study, published in 1931 by J. H. Holmes and Company, led to conclusions similar to those of Fritzemeier.